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S&P Global Market Intelligence Estimates

	-FY 2024-			-FY 2025-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS
EPS Normalized	1.62	NA	NA	1.64
Revenue (mm)	14053.94	NA	NA	14306.26

Currency: SGD

Consensus as of Aug-02-2024 8:47 PM GMT

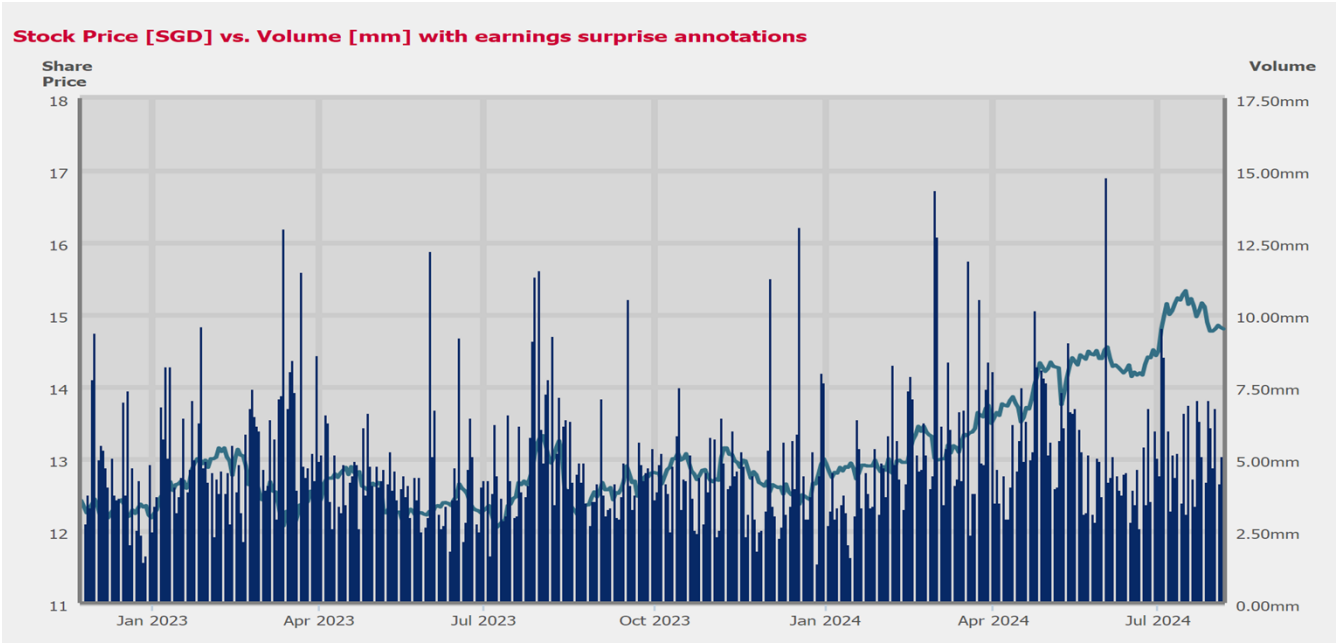


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Call Participants

EXECUTIVES

Chin Yee Goh

Group Chief Financial Officer

Collins Chin

Head of Investor Relations

Jason Moo

Chief Executive Officer of Bank of Singapore

Kenneth Mark Chin Kui Lai

Head of Global Markets

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Yong Hong Tan

Citigroup Inc., Research Division

Sunny Quek

Head of Global Consumer Financial Services

ATTENDEES

Chanyaporn Chanjaroen

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Prisca Ang

Unknown Attendee

Unknown Executive

ANALYSTS

Aakash Rawat

UBS Investment Bank, Research Division

Jayden Vantarakis

Macquarie Research

Nicholas Lord

Morgan Stanley, Research Division

Unknown Analyst

Presentation

Collins Chin

Head of Investor Relations

Good morning, everyone. Welcome to OCBC's First Half and Second Quarter Results Briefing. This morning, we have on our panel: our Group CEO, Ms. Helen Wong; our CFO, Ms. Goh Chin Yee; Mr. Tan Teck Long, who Heads our Global Wholesale Bank, Mr. Kenneth Lai, Heads our Global Markets; and then to Helen's right, you have Mr. Sunny Quek, which is Head of Global Consumer Financial Services; and last but not least, our CEO of Bank of Singapore, Mr. Jason Moo.

So Chin Yee will take us through the slides, and thereafter, Helen will share her thoughts on our results as well as provide an update on their offer for Great Eastern. So I'll pass the time now to Chin Yee. Chin Yee, please.

Chin Yee Goh

Group Chief Financial Officer

A very good morning to all. Thank you for joining us at OCBC's First Half 2024 Results Briefing. We are pleased to report a record first half net profit. This lifted return on equity to 14.5% on an annualized basis. Our first half profit was underpinned by 3 factors: broad-based income growth, cost discipline and benign credit costs.

Total income for the first half crossed SGD 7 billion for the first time. Net interest income was up 3% to \$4.87 billion. This was underpinned by assets growth. Customer loans grew 3% on constant currency basis and other financial assets grew 12%. The assets growth more than compensated for the moderation in net interest margin, down 5 basis points to 2.23%.

Noninterest income grew 15% to \$2.39 billion, led by higher fees, trading and insurance income. Expenses were well controlled even as we increase our strategic spending to invest for growth. Cost-to-income ratio improved to 37.5%. Assets quality remained robust. Credit costs were 15 basis points on an annualized basis, 6 basis points lower than a year ago.

NPL ratio improved to 0.9%. With our robust results and strong capital, we are pleased to raise our interim dividend by 10% to \$0.44 per share. This represents a payout ratio of 50%, in line with our dividend policy.

Our group and banking operations net profit for the first half were record highs. Bringing your attention to the second quarter, group net profit was \$1.94 billion, up 14% from a year ago. Compared to first quarter 2024, where -- sorry, compared to first quarter of last year, where we -- sorry, sorry, compared to first quarter of 2024, where we achieved a record quarterly net profit, this quarter was 2% lower, but still the second highest on record. I will elaborate more on our financial performance in the following slides.

Our 3 main businesses continued to deliver strong performance. Banking operations first half net profit rose 6% to \$3.42 billion. This was lifted by higher net interest income and fee income. Our wealth management franchise performed very well. Group wealth management income expanded 14% to reach a record \$2.54 billion. It now contributes more than [1/3] or 35% of the group's total income. Assets under management reached a new high of \$279 billion. Quarter-on-quarter, the increase was contributed by sustained net new money inflows and positive market valuation.

Moving on to insurance. Profit contribution from GEH increased 40% to \$504 million from strong underlying performance of insurance business and favorable investment performance in shareholders' funds. Total weighted new sales and new business embedded value were higher year-on-year boosted by sales momentum in both the regular and single premium plans.

This slide shows the breakdown of our operating profit by business and by geography. With a diversified franchise, we are able to harness our comprehensive network presence to deliver balanced earnings growth through economic cycles.

We continue to maintain our strong capital, funding and liquidity positions, as you can see in the charts on this slide. This puts us in good state to pursue growth opportunities, buffer for uncertainties and increase shareholders' returns.

Moving on to details of our group performance trends from Slide 9. Net interest income for the first half reached an all-time high of \$4.87 billion, lifted by a 5% asset growth. We strategically deployed our liquidity to high-quality assets, which resulted in a rise in total interest income. However, these assets were lower yielding as compared to customer loans. This largely contributed to the mild deterioration in NIM to 2.23% for the first half.

In the second quarter, NII was sustained at similar level compared to a quarter ago. Our assets grew by 3%. This largely offset a 7 basis point decline in NIM. The increase in lower-yielding, high-quality assets that I mentioned earlier and the tightening of loan yields resulted in a narrower NIM.

NIM was 2.2% for the quarter and underlying asset NIM in June was 2.19%. Our house [will] is 2 rate cuts this year. We are maintaining our NIM guidance of 2.2% to 2.5%. At this stage, we are looking to come in at the lower end of the range by year-end.

Noninterest income grew 15% in the first half to \$2.4 billion. The strong growth was driven by a broad-based expansion across our various businesses and reflected in higher fees, trading and insurance income. I will go into more details of our fees and trading income in the next few slides.

Net fees and commission rose 7% to SGD 945 million in the first half. This was primarily led by wealth management fees, which grew by 19%. Our Wealth Management franchise has continued to expand sustained increase in customer activity drove both fee and AUM growth. There was higher demand for wealth management products such as structured products, structured deposits, unit trust and bancassurance.

During the first half, net trading income climbed 28% to \$726 million. Customer flow treasury income reached an all-time high. The increase in customer flow income was across both corporate and consumer segments.

We continue to invest to support business growth and create franchise value. For the first half, the increase in operating expenses were largely driven by higher staff costs from annual salary adjustments as well as continued investments to support our franchise growth. IT related and business promotion expenses also rose.

Integration costs related to the acquisition of PT Bank Commonwealth Indonesia of \$12 million were also recognized during the second quarter. Our first half cost-to-income ratio improved to 37.5% despite our ongoing investment in business growth. This reflects our strict cost discipline on discretionary expenditure.

Asset quality remained resilient. NPL ratio continued to trend lower at 0.9%. This was lower than a year ago, and against the first quarter. NPAs in all key industries have declined year-on-year.

Total credit costs for the first half and second quarter were lower at an annualized 15 basis points. During the second quarter, total allowances of \$144 million were 14% lower quarter-on-quarter. Specific allowances for the quarter were largely for a few corporate accounts in Asia across various sectors. These were idiosyncratic in nature with no specific sector stress observed.

Our group's NPA coverage ratio was 155%, the highest across the past 5 quarters.

Our loan portfolio remains well diversified across geographies and industries. Customer loans of \$3.04 billion at end June were the highest level book so far. Year-on-year, loans grew by \$7 billion, led by higher non-trade corporate and consumer loans.

From a geographical perspective, the expansion in loans was from Singapore, Malaysia and our global network in the United Kingdom and Australia. As part of our corporate strategy, we remain focused on supporting our customers' sustainable financing needs. Sustainable financing loans grew 33% year-on-year to \$44.6 billion. This accounted for 15% of group loans at the end of June 2024.

Customer deposits were \$370 billion as at June 2024, stable from the previous quarter. Compared to a year ago, customer deposits were 1% lower. During the period, we released excess liquidity in the form of higher cost, fixed deposits, which declined \$7 billion year-on-year.

CASA balances rose \$8 billion, and CASA ratio increased to 47.9%. Group loans-to-deposit ratio was higher at 81.1%. We will continue to proactively manage our balance sheet and liquidity.

Moving on to dividends. The Board has declared an interim dividend of \$0.44, 10% higher than a year ago. This represents a dividend payout ratio of 50%, in line with our target payout level.

Moving on to my final slide. Our capital position remains robust. CET1 ratio of 15.5% was lower compared to a quarter ago. While our CET1 ratio was raised by profit accretion during the quarter, this was firstly reduced by the payment of our 2023 final dividend in May this year. And secondly, from an increase in risk-weighted assets, which was partly attributed to loan growth.

With the payment of our first half interim dividend on 23rd August 2024, the pro forma CET1 ratio will be lower by 0.8 percentage points to 14.7%. This will be further lowered by about 0.2 percentage points to 14.5% after accounting for the period from the end of

second quarter to the close of Great Eastern Holdings voluntary unconditional general offer on 12 July. Helen will be providing more update on the offer in her presentation.

With this, I end my presentation and will now pass the floor over to Helen. Thank you. Helen, please?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you, Chin Yee. Good morning, everyone. Welcome again to our building and this is our first half results. So again, a warm welcome. Chin Yee has gone through a lot of the details of the results, but I'd just like to recap some of my thoughts on our performance.

So I would have to think that our first half results is satisfactory. It is a record results performance, and this was indeed underpinned by our broad-based income growth across our big 3 pillars: banking, wealth management and insurance.

So the total income for the first half, of course, surpassed SGD 7 billion for the first time. NII and wealth management income also reached new highs. And total income for the second quarter was also a new record. So AUM was also a record level at SGD 279 billion. And indeed, compared to the last quarter, the growth in AUM is driven by net new monies that came in and also positive market valuation.

Costs are well managed. We embarked on the cost this year as we focus on executing our strategy. We feel there would be more uncertainties coming and interest rate would move. So we put in quite a lot of thinking into how we manage costs. So this is on top of, we continue to invest strategically. I talk a little bit about our strategic actions, execution in the next page.

Compared to the past, I think cost is doing pretty well. We recorded positive operating jaws, of course, with our first half cost-to-income ratio lower than a year ago. Loan growth at rather -- I wouldn't call it a difficult market, but we all do know that industry demand is not actually that high.

Interest rate is high and people are a bit -- companies are a bit careful in managing the investments. So -- but we feel our loan growth is still robust. Year-on-year, we added SGD 7 billion of loans. This is -- disregard that I think some of our regional currencies remain to be weak and have some translation.

That does not reflect the growth. But in a way, with our business, indeed, strong growth in the regional franchise and also through growth in the international network. We continue to be very well placed to support our clients to -- as they seek to expand in particular, cross-border.

Chin Yee mentioned our NPL status. We -- our portfolio remains resilient, and our NPL ratio continue to trend downwards. And at the moment, as at the end of the first half is 0.9%, and credit cost declined to 15 basis points. While, of course, we say this is good. We're comfortable with our loan book, but we continue to be prudent in managing risk.

With our record earnings and solid capital position, we talk about 50% payout of our profit to \$0.44. But I do want to mention that in absolute terms over the past 5 years, compared to the first half dividend pre-COVID 2019, we -- our \$0.44 this half year is more than 75% above the \$0.25 in 2019 first half.

So as I said, I want to cover a little bit about the strategy, the strategy execution. We did talk about -- we announced last year that we have a 3-year plan. That would help us as we execute our strategy correctly and in a good manner, we should be able to deliver SGD 3 billion of incremental revenue over 3 years. So that is from 2023 to 2025.

So this is exactly the halfway mark, right? So I think at the end of the year for 2023, I did talk about we achieve what we plan to achieve. It is on a rising because whatever initiatives you put in, the investments you put in should continue to generate more incremental revenues over the 3 years.

So last year, we said we're happy to achieve 1/6 of it. So that was around \$500 million. So this is halfway for the second year, we talk about \$1 billion as a target. So we're past half year, I'm pleased to report that we also achieved our half year target. Slightly above, actually. So hopefully, with the momentum going into the second half, even though there may be some uncertainties, geopolitical wise, and also potential interest rate start to come down, we hope to be able to deliver the \$1 billion we plan to.

So this slide just shows what we talk about. You will recall -- a lot of you recall, we refreshed our corporate strategy towards the end of 2022. We talk about 4 growth pillars, right? And our other initiatives we had to generate incremental revenues come from this belief that we should be able to win as we define our strategy correctly.

So if you look at the 4, what we call the growth pillars, which is to capture Asian Wealth, Support ASEAN, Greater China trade and investment flows on embarking on a knocking value from the new economy plus, we're seeing that we want to drive our transition to achieve sustainability indeed to reduce carbon emission and very importantly, continue to support our customers as they transition their portfolio to green.

So I would not go through all the numbers, but just want to highlight that when we say we want to achieve this, we have to have the right people. We have to manage our capital and risk accordingly. And we have to invest in digital and transformation and indeed, we want to act as 1 group.

So when we say we show results of the growth in the 4 pillars, the enhancer, I mean, what we have invested in, as we talk about managing our capital, refresh our dividend policy. We manage our risk we just talk about our NPLs trending down. We talk about changes of the management team over the past 2 or 3 years, who you now get to know everybody better. We talk about the 1 group.

I think that is very important as we put everybody together, so that we can act with the investment in digital, we're able to launch more products, across our franchise, across our core markets, we're able to serve our customers with more products and across more geographies, which leads to how we deliver the incremental revenues.

So flipping the page, just want to say that we obviously cognizant of the geopolitical uncertainties, of course, including ongoing was slightly and also other outcomes, elections that has happened and election that will be upcoming. So again, this backdrop, we still remain confident in the resilience of the ASEAN economy.

So macroeconomic outlook and opportunities in ASEAN region remain strong. And with our robust capital position, diversified business franchise and prudent risk management, we think we are allowed positioned to navigate the challenging landscape. Ready to capitalize on the opportunities we identify, continue to invest in our infrastructure -- technology infrastructure, continue to invest in our wealth. I think you can always ask Jason. We continue to hire RMs into the private banking network. And we use a lot of digital to acquire new customers in the CFS franchise as well.

So on the back of our record earnings and steady execution of the corporate strategy, we have made advancements as we said, to meet targets set for 2024. Just to recap a few things, which Chin Yee has already touched upon. For NIM, expecting to come potentially at the lower range of 2.2% to 2.25% at this stage.

Loan growth remain to look at a low-single-digit. And for credit cost to still range between 20 to 25 basis points. Of course, we continue to manage the risk. But as we said, we are always cognizant of uncertainties. And we also committed to deliver the target of 15% dividend payout ratio. But for of course, for the year-end dividend, we will consider as we look at our capital position and house our performance for the second half.

So I now come to the end of the results, but I think we have distributed a deck regarding GE and I think it is a subject that a lot of you are very interested in. That's why I want to provide an update on the voluntary unconditional general offer for Great Eastern Holdings.

So just call that video and also called Great Eastern GE when I talk about them. So the first page, let's flip to the content. Yes. Just very simple. I think you know, but just want to recur. The regional has closed on the 12th of July, a couple of weeks back, and we have increased our shareholding in Great Eastern to 93.32%.

I think sometimes you see a number of 93.52% or 93.53%. Just want to -- because on certain count, we need to disclose consulted parties holding. But for those that is held by OCBC is 93.32%. So although the offer is over, GE shareholders can continue to sell us their shares under Section 215 Record 3 of the company ordinance. This will be on the same terms under the offer. That means SGD 25.60 per share.

But however, as Good Eastern has recently declared interim dividend of \$0.45 per share. So shareholders who are entitled to the interim dividend will receive a [\$25.15] from us and remaining as an interim dividend from GE. An announcement with details on this will be made later on the stock exchange.

So as I want to also give a number, although this has only -- we issued the notice about a bit more than a week ago and as at the end of July, so meaning 2 days ago, end of Wednesday, over 130 shareholders have holding more than 600,000 shares have accepted the offer. Meaning the exercise of right to put the shares back to us. So just an update on that.

So I also want to spend some time because during the period of the VGO, the -- you all ask us quite a lot of questions about the price, right. We offer. We couldn't really discuss that. I mean, this is because we are in the period of the VGO. So I'd just like to take this opportunity to just to go through our thoughts and on the price.

So I think this page recap some of the multiples, right? But I want to say that when we assess our offer price, we're really considering carefully both accounting and actual-real multiples before we make the offer. So I think PE and PB, right, price over earnings and price over book are calculated using audited net profit and also book value, right?

These are based on internationally -- international accounting standards. And hence, these are generally more comparable if we consider other comparables insurance company. Then, of course, there is the price over EV, right, and better value. This can be calculated using a variety of methodologies and management assumptions.

So it does vary quite a bit as we make comparison across insurers and this is a bit more challenging in using price over EV. So these matrix, of course, all have their pros and cons, right? But we decided that it is important to assess the valuation using more than 1 metrics and so that we consider the metrics holistically and not simply rely on any one of them.

So as a recap, I think the table shows that the offer price implies a PE of 15.6x price on book value of 1.54x and price over EV of 0.7x. So this matrix represents a premium to most of the trade and metrics of listed life insurance. I mentioned in Great Eastern's own [IFA] circular for the offer dated 14th of June.

So the offer price also represents a -- quite a healthy premium over the last trader price. And we talk about -- we mentioned that over the last trade price, it's 36.9% premium over a longer weighted average of 1 month, 3 months, 6 months and 12 months. This ranging higher, between 39% to 42%.

So also at the one page on EV because it is a question I always receive. And I want to also mention that EV and better value is sensitive to long-term profit forecasts and assumptions. So that's why we said it does vary across our different insurance companies. And this is assumptions on future claims, assumptions on benefits, investments returns, operating expenses, capital requirements and risk discount rates.

So this is looking into the future and have a set of metrics that is not particularly standardized across our different insurance companies. So because different insurers use different methodologies, assumptions, et cetera. So the results in EV being a to a certain extent, a less perfect metric to be used solely for comparison between insurers.

And of course, when we talk about price, there is obviously the conditions whether you're buying a franchise or you're buying the right new license and insurance license. And for us, we are not buying a new license. We're increasing our investment into GE.

So when comparing the EV, the better value of Great Eastern with other life insurance, it is also important to note that GE was able to assess [OCBC's] extensive distribution network without paying assess fee like other live issuers who have paid to the other banking network for banca, right, for bancassurance business. So this has a positive impact on GE's EV in the past.

So lastly, also along with the implementation of IFRS 17 last year, some insurers will look at how stakeholders would view their business and have stopped reporting EV. So I just want to get that a little bit clear because so many of you asked me about EV, how we price against EV.

So turning to this next page then. I still want to say, I cannot say it when we are individual. You ask me how whether I like the price. So I want to say now that we feel the offer price is meaningful. Meaningful as to the fact that it represents a premium to most of the traded matrix of listed life insurers mentioned and most of the listed life insurance mentioned GEH IFA circular are also trading below the limits and discount to EVs of some of these companies are material.

So we actually capture the charts in the appendix from that IFA circular dated on June. So this is the last slide I want to share before we go to Q&A. Okay, next steps. I just want to say that. We continue to work on our One Group strategy to achieve greater synergies with Great Eastern and try to minimize leakage of the economic value generated. When we say minimize leakage, that is why we are buying more share of it so that we hold more share so that they can contribute to us.

We are in the Section 2153 period, so we are assessing how our shareholders is responding during these 3 months. As I said, some of them already have put back the shares to us. So we will assess -- continue to assess the situation and decide on next steps.

At this point, not much can be said seriously. And -- but as mentioned previously, we are prudent. We have calibrated in our approach. If we and people ask us whether we will have another offer. But if indeed, if ever we decide to make an offer in the future, it will be made in the interest of OCBC because we are OCBC. So it will be made in the interest of OCBC and our shareholders.

So with that, I think I close this presentation or discussion on [GE Vision]. Thank you very much for taking the time again coming here listen to us. We now move on to take any questions you may have. So over to Collins and -- thank you.

Question and Answer

Collins Chin

Head of Investor Relations

I present that Chanyaporn Chanjaroen. So I will have to give it to Chanya. Ladies first.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

We'll pass around the mic, yes.

Chanyaporn Chanjaroen

Chanyaporn Chanjaroen, reporter from Bloomberg. I have 3 questions. Let's go back to the CRE. I noticed that your CRE exposure to loans as total of loans is 11%, and that's a decline from 12% at year-end. Do you see room to further reduce commercial real estate exposure? And what's your view too, on the sector in Hong Kong?

On Great Eastern, do you have plans -- do you see room for Great Eastern offerings in Greater China? And just one for Jason. The RM headcount mentioned in the deck, is 6% increase from June 2022. Could you share the total headcount now and why it's not compared to 2023?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. I'll just add a bit on the numbers on my deck. It's actually December 2022. We try to use December 2022 because it's right at the end before we have our corporate strategy, the 3-year corporate strategy. But certain data, we do not get back -- go back as far as December 2022. Because some of the initiatives as we launched at, for example, I talk about [Granot]. We now managed to have a lot of cross-border transactions using [Garcon] and because we launched in 2023, most of them.

So when we are comparing, we try to compare to December 2022. But of course, a lot have happened over the last 18 months. So that is for Jason to take on the third question.

So coming back to the first one, CRE, you asked us whether we continue to reduce it. And I think the point is about diversifying. Meaning we continue to see opportunities. For example, we talk about new economy, right? So in a way, if you have -- and also if you onboard more clients, then, of course, CRE sector, the exposure will be reduced, right? And of course, we can always assess the risk and whether we choose to refinance when some of the loans are coming due as well.

But I probably would want to pass that to Teck Long to just express to add a few points on CRE. In particular, Hong Kong, Teck Long. There's a question on that.

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Thank you, Helen. For the CRE exposure, we have been quite conservative in the market. So earlier on, I think there were questions and a lot of focus on the U.S. CRE. As you can see, we are right that cycle pretty well. We have stopped financing of this real estate in U.S. for quite a while, even ahead of other questions.

For Hong Kong, we can see the cycle changing as in like moving downwards and vacancy rates going up. So we have been quite conservative as well, looking at exposure, so very, very selective. So that's our stance.

But I want to put into context for Hong Kong CRE. Our Hong Kong CRE exposure for our fees is less than 2% of our total group exposure. I think this is the first point I will make.

The second point is that we are very conservative and with mark-to-market, the valuation every year at least once a year. Now at this point in time, our circle exposure in Hong Kong has an average LTV of below 50%.

The last thing I would say is that coming from the other angle, actually, on a slightly more positive note, if interest rates were to drop, it could give some relief to the cycle in Hong Kong, yes.

Pik Kuen Wong

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Group CEO & Non-Independent Executive Director

Thank you, Teck Long. The question on GE Greater China. Of course, we always look at where we are and what value we can extract by working closer together. So this is a discussion we have with GE continue going forward. But at the moment, nothing I can talk about GE going into Greater China.

Of course, we said we want to get even more synergies by working closer together. So when we say we review that, of course, we review where the bank is strong. I'll pass to Jason on the RM question.

Jason Moo

Chief Executive Officer of Bank of Singapore

Sure. Thank you very much, Helen. So to answer your question, China, we have -- since I came in March of last year and launched a new strategy in line with capturing Asian wealth, which is a larger OCBC corporate strategy. We have announced that we would be aggressively expanding our RM headcount base.

So again, the comparable is December 2022 when before I came on board. And so we have been executing that strategy fairly aggressively across our locations, focused predominantly on the 3 hubs, which is Singapore, Hong Kong and Dubai. And I'm glad to say that, that -- those hires have been paying off in our net new money, as you have seen.

So we continue to execute that strategy and that will contribute to the Asian wealth segment of the larger corporate strategy -- I'm sorry, 6%. I couldn't hear that.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Our current number. Our RM current number.

Jason Moo

Chief Executive Officer of Bank of Singapore

Yes. Sorry. I'm sorry, what was the question?

Unknown Attendee

No. My question is the total headcount of RMs after the 6% increase that you mentioned?

Jason Moo

Chief Executive Officer of Bank of Singapore

Well, I'll total as you can see from the number, we have 445 RMs as of June, but we will -- we are continuing to increase that number as weeks go by. So I cannot give you the total head count. That number keeps changing as we speak.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

So you just want to know the number as at June, right? So it's 445.

Jason Moo

Chief Executive Officer of Bank of Singapore

445, yes.

Unknown Analyst

Moo from [indiscernible]. I've got a couple of questions, I think. First is on NIMs. Can you walk me through the dynamics of the line? How much of it was asset yield related? How much of it was funding cost related.

On the funding cost side, do you still have any more tranches of old high-cost FPs that can be pushed out into lower cost FPs maturing over the next quarter? So that helps. If not, then not, and how much of that dynamic on the NIMs also into that margin related? That's the first question.

The second is on CRE. I mean, everything we are seeing from the China banks reporting sound quite grim. U.S. commercial real estate in certain pockets is LTVs, the prices have dropped from peak by almost 70%. Certain parts of Hong Kong, China getting there. At what stage do you think about an impairment or revaluation of book? Or are you very comfortable at stage? Yes.

And the net new money this quarter, where is it from? That would be my third question.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. I thought you're looking at Chin Yee when you asked the first question. So Chin Yee?

Chin Yee Goh

Group Chief Financial Officer

Yes. On the question about NIM. You asked about the dynamics, right, which -- about I said, yields as well as funding costs. I will break it into 2 parts. One is first half '24 versus first half '23. This is where we do see both asset yields as soon as funding costs go up, yes? But over this period, half-on-half, the funding costs actually went up higher compared to [as new]. That sort of is just slightly higher. So that's sort of contributed to the stock moderation in NIM over the half-on-half.

Now on Q-on-Q, first Q versus first -- first Q to second Q, second Q versus first Q of this year, we saw Chile both funding costs as well as asset yield is sort of declining, yes? Except that the asset yield actually declined faster than the funding cost decline, okay?

And why is that the case is because, as I mentioned earlier, right, we put out more of the high-quality but lower-yielding assets. Lower-yielding meaning compared to customer loans, which sort of add to our NII growth but actually lead to a sort of compression in NIM overall.

So it reflects what we are doing now to balance the NII growth versus the impact on NIM such that we continue to be able to sustain our NII in light of expectations of interest rate going down, which will hit asset yield as well as funding costs. Yes. So as part of this shifting of our assets we are also looking at really managing our funding costs such that it can come down in line with the interest rates, okay? Yes.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I do want to add that the investment into high-quality commercial assets, is also to prepare a book in view of interest rate coming down. So we have made some investment in high-quality bonds. And of course, the high-quality bonds are also good in terms of RWA, right?

So I think this is something we have started to prepare to do as we prepare for interest rate coming lower towards the end of the year. The active management of funding continue to be very, very important in terms of having a digital offering that would be easily on new customers so that we will own more operating accounts so as to improve the CASA ratio.

And as interest rate coming down, of course, customers will be less inclined to port into longer-term fixed deposits as well. So in a way, I think this is part and parcel of everything but we are still projecting if we are looking at today towards year-end, that's why we say that NIM could be at the lower end of our range of \$2.2 billion to \$2.25 billion.

So coming to the second question about CRE, right? And you're saying that China CRE not doing well, U.S., in particular, but we did disclose the percentage on -- based on our loan book. Of course, if you remember last quarter, we did talk about have more ECL 1 and 2 on real estate, looking at Greater China. I think we did that looking at knowhow. I think we did that first quarter, right? Yes.

So yes, we do prepare. We do account for a potential weakening of the portfolio. So that's why we have that. And if you look at our coverage, NPL coverage ratio is actually even trending higher in that sense, right? So to really evaluate the properties we do, I think Teck Long just talk about it and we watch very carefully our CRE exposure.

I think the comfortable part is a lot of the CRE exposure is extended to a lot of our big customers. When we say big customers, it will be blue chips, big listed company and what we call our network customers. So in that sense, we -- of course, when you say we have to watch very closely, and we did indeed make more provisions on that just to be prepared.

But the important part is watching, continue watching how these properties perform. So price is 1 thing. I think Teck Long talked about still a relatively LTV at renewed evaluations. But again, whether the customers can continue to ran down. And also as we look

at the refinancing, what other proposal and how do we make sure that if the refinancing is something we like, it's structured in a way that help us to continue to manage the risk. So that's on CRE.

And I think on net new money, I think I'll ask Sunny and Jason to comment.

Sunny Quek

Head of Global Consumer Financial Services

Well, I think we see our net new money increasing due to a couple of reasons. First, I think we have seen an increase in new-to-bank customers for the consumer bank. And I'm sure the branding exercise that we originally, definitely helps in that. And I believe we have a good customer proposition.

Certainly, I think we have a very strong flagship 360 account whereby customers are rewarded because they do more with us. And based on customer feedback, we also add on the credit card spend. This definitely helps to help us to get more new to bank customers.

We also have been working on workplace banking, working with our corporate colleagues in when we go to -- when we open a couple account, we go together besides getting a couple account, we opened their salary crediting account as well. This definitely helps in getting new customers. In fact, first half year-on-year, we're getting 3x new to bank customers compared to last year and also talking a little bit about our flagship 360 account.

We are seeing the customers do like our propositions with see account increase in this account, particularly up 20%. And also, we also have been investing in our digital offering and the customer experience in opening our 360 account has been fantastic. If you don't let me try to open the account, you'll believe me after that.

We also have seen that the increase in our wealth management fees is increased partly also customers are coming in, investing quite fairly on bonds. So I think that helps to increase our net new money as well. So these are a couple of reasons, and this will help to contribute in our CASA as well.

I'll pass over to Jason.

Jason Moo

Chief Executive Officer of Bank of Singapore

Thanks, Sunny. So just to reiterate the previous point that I made, we've hired quite a number of new RMs as part of our ongoing strategy, and they are starting to bear fruit in terms of net new money. So they've brought in quite a bit chunk of the net new money that's attributable to Bank of Singapore.

In addition, we've had obviously being helped by the market, so valuations have helped increase our AUM. But more importantly as well, we've got clients, who are selectively now increasing transactional activity, and leveraging back into the market in anticipation of rate cuts coming towards the end of the year.

So we've seen net new money coming from leveraging as well. So those are the 2 main points for us.

Unknown Analyst

Of the \$279 billion, how much is net new money as opposed to valuation on a quarter-on-quarter basis. And where is that coming from? Is it largely Singapore? Or it's from all over?

Jason Moo

Chief Executive Officer of Bank of Singapore

Where it comes -- so you talked about out of the \$279 billion, how much of that comes from valuation increases...

Unknown Analyst

And how much of that is net new money?

Jason Moo

Chief Executive Officer of Bank of Singapore

So in total, I believe sorry. Do you want to -- I'll take that. So market valuations have increased at least in the U.S. by about \$3 billion, whereas net new money has increased by -- on a combined basis, about \$2 billion.

Sunny Quek*Head of Global Consumer Financial Services*

Shall I answer that question. I think I look at it in terms of a response from the group, right? So I think in terms of the group net new money that came in, I think it's about roughly about [60 billion] this period. So again, for competitive reasons, we won't break it down between bank on Singapore and CFS but as a whole, I think net new money as well as [60].

And maybe if we move on to the next question, Aakash, from UBS.

Aakash Rawat*UBS Investment Bank, Research Division*

I've got 4 questions. The first one, I just want to touch on the net interest margin again. On a half-on-half year basis, if you look at the cost of funds, it was up around 11 basis points. I think this looks a lot higher compared to what we saw at UOB yesterday, which was only 2 basis points. I'm just trying to understand like why is the funding cost dynamics so different? Is it like a lagged repricing of deposits that you're seeing? And how do you see it going on for the second half of the year?

And then if you could remind us what the latest sensitivity is. I think the last time the guidance was 3 to 4 basis points of per rate cut from the Fed. Is that still the same? Or has that changed?

The second question is on the RWAs. So if you look at the increase quarter-on-quarter, I mean some of it came from credit risk, which is in line with loans increase, I think there was \$3 billion from market risk as well, which is around 30% Q-on-Q, which is something you've not seen, I think, for the last like many, many years. So what is going on there? And how do we see it going forward? And maybe these 2 and then I have 2 more questions after that. If that's okay.

Chin Yee Goh*Group Chief Financial Officer*

Let me take that. Okay. For NIM, when you look at the overall funding cost, right, half-on-half, as I mentioned, we have besides customer deposits, we are also putting on wholesale funding, which adds to the cost to -- in order to fund some of our -- what we call the high assets, high-quality assets that I mentioned earlier. We sort of capture the spread on that to add to the NII.

Aakash Rawat*UBS Investment Bank, Research Division*

This is being done more from a ALM perspective? Or is it because you don't need additional high-cost funding?

Chin Yee Goh*Group Chief Financial Officer*

Yes. So that's part of our sort of deployment of funds in the -- as I mentioned in the second quarter, right, where actually our high-quality assets actually grew by 12% and part of that is funded through wholesale funding. Yes, that account for the differences in terms of the funding cost compared to, for example, UOB. Yes.

Aakash Rawat*UBS Investment Bank, Research Division*

I see. And I think this is something that will probably continue for the rest of the year?

Chin Yee Goh*Group Chief Financial Officer*

Sure. It will continue because as I mentioned -- as we mentioned. Helen also mentioned that, right, it's part of our balancing of the balance sheet to be able to sort of locked in some of the bonds in this patient of rate cuts, yes.

Aakash Rawat*UBS Investment Bank, Research Division*

Understood. And then the follow-up was on the sensitivity, the NIM, the latest.

Chin Yee Goh*Group Chief Financial Officer*

The NIM sensitivity based on the 4 currencies, 1 basis point would lead to 4 million sensitivity on an annualized basis. And then if you recall, this actually drop, right, from like first quarter when we announced -- the same question is as right almost every quarter. So first quarter, it was \$5 billion to \$6 billion. And then in fourth quarter, I recall it was like \$6 billion to \$7 billion.

And why is it the case is because we are -- we are lending more to like fixed rate loans. And also we are performing what we have, what we call cash flow hedges. All these are part of our balance sheet strategy to prepare ourselves for rate cuts, which are imminent, right? Follow-on question, you also have like how many rig cars, right, that we are anticipating...

Aakash Rawat

UBS Investment Bank, Research Division

I think you said 2 already.

Chin Yee Goh

Group Chief Financial Officer

Yes. All right. The RWA question, right? I'll do it Aakash, okay, there are 2 portions to the growth in RWA, almost equal in terms of the quantum. The -- for credit RWA is really growing in line with our loan growth. And then make RWA, you also notice growth. That's because we put on a bit of FX options for hedging purposes. So it's for hedging purposes.

Aakash Rawat

UBS Investment Bank, Research Division

Hedging against the interest rate risk, which is lower -- in your sense?

Chin Yee Goh

Group Chief Financial Officer

FX.

Aakash Rawat

UBS Investment Bank, Research Division

For FX, actually.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. I think Joe...

Aakash Rawat

UBS Investment Bank, Research Division

Sorry, I have a couple more questions. Maybe -- do you mind me ask the question, please.

Kenneth Mark Chin Kui Lai

Head of Global Markets

So on the increase in market risk RWA, it's largely driven by a couple of things. One, as Chin Yee mentioned, some hedging activities on our exposures. But primarily, it's actually -- there's been a lot of increase in our customer flow business. So as a result of pricing these deals to customers, whether it's interest rate derivatives or structured products, we are warehousing some of those exposures. That's why the MRWs have gone up.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

May I just add that because I see there's a lot of interest in NIM, right? So may I just add a few things. It's not just thinking about deposits, how much you pay and the loans where the loan pricing are tightening. NIM, there are more things you can obviously manage. For example, we talk about putting in a good yield.

Of course, no yield compared to loans, but some high-quality assets. But we have also put in some cash flow hedges, which we mentioned in the past. Of course, you can also look at growing your fixed rate mortgages, right?

And indeed, if you look at the overall Singapore market, last year, the fixed main mortgages grow something like \$5 billion. If we capture our reasonable market share, we have increased our fixed rate mortgages. That will actually give us a higher yield in fact, right?

So -- and then some other things would be to, of course, constantly manage the fixed deposits. And then you can also offer managed by offering the right tenor, so that you guide customers and not to put pressure too long or too short according to how we want to manage it. So these are all the things that we can do. So there are many ways we look at, but that is a very active process in particular on interest rate and on NIM, right? Because as we said, we haven't seen high interest rate for so long.

But of course, one day, it will come down. So there are a lot of things we're looking at in order to protect our NIM, but also to protect NII as well. If you're staying very high in NIM, but your NII drops because your volume drops, then it doesn't really help on the results.

Aakash Rawat

UBS Investment Bank, Research Division

The next question I have is on the CRE bit again. Just looking at what UOB reported yesterday, they had a \$200 million NPL in Hong Kong with properties in Shanghai and Japan. Is that something that you're looking at as more idiosyncratic? Or is that actually leading to higher systemic stress, which is also showing up in your book. On a quarter-on-quarter basis, is there more stress in the CRE book that you have? Or is this more idiosyncratic?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I think, first thing, it's very difficult to compare between peers. So not talking about that, but Teck Long, you can actually express a bit more on the CRE, helping manage.

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

I can't comment on another bank's loan book. I think for us, we have been monitoring the situation very closely. I want to share a little bit on how we approach CRE right now, we are thinking about asset value and we approach it from that angle. But the way our business with us keep work is that we actually approach it from a customer selection viewpoint.

So if the customers meet our target market, then we will work with them. For this reason, our portfolio is actually pretty resilient. So far, when we see some losses relating to CRE, it's actually more idiosyncratic situation relating to a client like something happened maybe passing on to the next generation kind of stuff, things like that.

But having said that, because it's a downward cycle at this point in time for -- especially for office real estate in Hong Kong, we also want to be careful and monitor and update our valuation to just make sure that we -- the portfolio is resilient. This is another prism to strengthen our risk management, but the underlying portfolio so far has been very resilient, as you can see from our financials.

Aakash Rawat

UBS Investment Bank, Research Division

I just have a last quick question on wealth management. Maybe for Jason, Sunny. So your AUM did improve 2%, 3%, I think, Q-on-Q, but the fees was down 7% Q-on-Q, which is also in contrast with what we saw in the results yesterday where it was up 5% Q-on-Q. Could you comment on that? Like what drove that decline in fees quarter-on-quarter? This is for Wealth Management overall, yes.

Sunny Quek

Head of Global Consumer Financial Services

Yes. So for the consumer side, actually, we are pretty flattish, just minus about 1%. And I think this is partly due to the fact that more about bancassurance sites, whereby we have been pretty much a lot proportion of our bancassurance come from a single premium. So that has come off because of the high interest rate, where customers usually take a loan to finance that.

However, we have regular premium, has seen very good growth. In fact, we have seen growing 40% quarter-on-quarter on that piece. However, the growth still can't quite match up for that. But beside that, I think we're seeing good traction all around. I think our treasury numbers are doing well. There's a first slightly slowdown in the bonds in Quarter 2 versus Quarter 1 because in Quarter 2, I think customers are thinking rate cut may be not so far and then they slowed down a little bit, but we did see a resumption in the treasury numbers in Quarter 3 that we're off to a very good start in July numbers.

Jason Moo*Chief Executive Officer of Bank of Singapore*

I'll just comment as well on the BOS side. In the same vein, we've had a very good first half of the year really led by transactional fees led by structured products, but really first quarter kind of lead. Second quarter was a little softer as people kind of switched a little bit more into products, which were like bonds, which are less lower-margin products.

Again, as I said, as I mentioned before, in anticipation of rate cuts, people are kind of putting on a little bit more of the bonds and fixed income as opposed to equities. But nonetheless, we still have a very strong pipeline of products and transactional activity that's coming on.

Collins Chin*Head of Investor Relations*

Okay. Sorry, I will just come to the media Jovi from The Edge.

Unknown Attendee

I'm Jovi from The Edge. So just 2 questions here. I think the first is just building on the wealth management question. We've heard about back of Singapore's RM hires. We heard about Bank of Singapore, Hong Kong's plans to grow AUM by 50% by 2026. Could you share any full year maybe 2026 targets for the Global Wealth Management business? And apart from wealth management, while as some of OCBC strategies to grow other parts of fee income.

And my second question here, I think I referred to the Pillar 3 disclosures. There were adjustments of \$10 billion from a CET1, including \$5.34 billion for investments in unconsolidated financial institutions, including insurance. So does this include Great Eastern and Bank of Ningbo and your Great Eastern is fully owned -- wholly-owned by OCBC, but this amount be added back to CET1 and will it be distributed to shareholders?

Jason Moo*Chief Executive Officer of Bank of Singapore*

Maybe I'll take question one. So yes, we -- as mentioned before, we've been -- I've been officially in public saying that we will grow our RM base by over 500 -- to 500, I should say, by end of 2025, I believe. And our AUM targeting USD 145 billion by that time. We have -- we don't give a breakdown of the geographic splits, but we are definitely well on our way on the RM headcount as we speak. And we'll continue with that hiring quite aggressively across our 3 hubs.

Pik Kuen Wong*Group CEO & Non-Independent Executive Director*

Chin Yee, you're taking the capital question, okay?

Chin Yee Goh*Group Chief Financial Officer*

Yes. So just to repeat the question, Jovi, is on the deduction, right? So the financial equity deduction to get CET1, right? Okay? So the deduction is for Bank of Ningbo, is our associates. And then for GE is actually reflected as when we compute group CET1, it is actually for banking operations only.

So for insurance, they are what we call de-consolidated. So we don't think in the capital. We don't take RWA, just deconsolidate them, yes. So then your follow-on question, like if you get 100%, whether we will return that to shareholders, I think is not talking about the same thing, right? In the first phase, they are already not in our CET1.

Collins Chin*Head of Investor Relations*

Okay. Nick from Morgan Stanley.

Nicholas Lord*Morgan Stanley, Research Division*

2 questions actually, again, on NIM and CRE exposure. Just in terms of what you answered to the previous questions, it sounds like you're putting on interest rate hedges. So my question is, is this the first quarter you've put on those hedges? Or have you been running a hedge previously?

I wonder if you could talk a little bit about the size of the hedge, and how big you think this hedge may get over the next few quarters? And then if you could talk a little bit about the duration of the hedge and also the yield you're getting on the hedge assets? And I've got another question on CRE afterwards.

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

I wouldn't go into the details. I mean what we do and how we interact with the market, it's very difficult to share everything with you. But indeed, we started to put on cash flow hedge last year. But it is not a very big amount. I mean when you say cash flow hedge, meaning you want to hedge a steady flow of cash flow. So you have certain balance sheet items that have that feature. So in a way, we will hedge accordingly to make sure that it is truly hedgeable. I think that's the first thing.

The second thing is we -- it's not an ongoing program as per se that you definitely continue doing that. But we will look at the market, what is a good time to enter into some of this hedge. They're not very long term. As again, you want to hedge against cash flow, right? So your cash flow is actually your income coming in mainly from your loan portfolio.

So when I say this, they are not very long term meaning they could be potentially be 2, 3 years in that sense. How do we see the market and what do we continue to do duration and yield maybe, Ken, you can comment a little bit without giving away too much trade secret.

Kenneth Mark Chin Kui Lai
Head of Global Markets

Yes. I think essentially, we expect rate cuts to come through this year, possibly 4 to 5 next year. But in terms of positioning, I think a lot of it has already been priced in, in the longer end of the curve. So we tend to take a conservative view in terms of how we look at our books. We run a very diversified portfolio in terms of our banking book ranging from money market placements to some debt securities, whether it's corporate bonds or government securities.

But in short, the -- we like to keep our average duration in the shorter end between 2 to 3 years only because we think that the market has actually priced in a lot of the longer end. So if anything, even with the short end coming off, the longer end is probably not going to come off that much. In fact, there's a risk of actually [indiscernible] steepening. So with that in the backdrop, that's essentially how we're positioning.

Nicholas Lord
Morgan Stanley, Research Division

Very helpful. Just actually quickly just related to that, [VF] are you -- are these U.S. dollar assets or Sing dollar assets? Are you doing SD FX hedging, you talk about swaps to fund the hedge? Or is that something completely different? You spoke about market risk going up because of increased FX hedging. So I'll just relate -- wondered if that was related to the interest...

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

Yes, I could touch on cash flow and hedge are 2 different things. Why don't you ask about CRE?

Nicholas Lord
Morgan Stanley, Research Division

Next question is on CRE. Just a little bit more detail on that. In terms of the revaluation, you said about your revaluation, you revalue the assets annually. So my question was, when was the last revaluation because obviously, prices have moved in the last 6 months. And just a bit more detail on how you revalue? Are you using professional valuers to do this? Are you taking your own haircuts on that? Are you taking the borrowers valuation? I just want to know what you're using in terms of the independence of valuation.

And then just in terms of -- you mentioned that most of your borrowers are large, which I think we're probably quite comfortable with. I'd be interested to know what percentage are not large. So what percentage of that 2% is small borrowers. And then have you got -- have you done any restructuring of Hong Kong CRE loans? So are you offering lower rates or restructuring the separate profile or

restructuring the duration of any of these loans at the moment? So they're not necessarily coming up in NPLs, but the loan has been restructured.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. Before Teck Long go a bit and more into details, I want to say that we're not trying to paint a [ROC] picture here. CRE is a concern. Developed market CRE is a concern. I think the whole market knows it. We see that. What we're seeing is -- when we look into our books and all the years how we manage risk, and we're not sitting here saying that we rely on borrower giving us a valuation.

We -- of course, we have outsourced. We have our views. And we will look at more diversification, meaning there are certainly some customers we don't want to refinance when the transaction is coming due. We will make sure that the structure offer more protection. And when we say even for our big customers, of course, you can also diversify a bit further and say that.

You don't -- you do less office, right? Your customers want you to do transaction with them. We look at, for example, student accommodation. This is something that is a lot more resilient to market because especially in the very popular centers where a lot of foreign students still continue to go to universities in those locations.

So just give that broad base. And we say that we're very careful, and we say that we'll look at whether we review our look at the NPL, we see that whether our provision is enough. And at times, we will actually make provision even faster, meaning that we don't wait till we best prove that the loan will really be going into delinquents, right? If you do expect, you watch the customers, you do expect maybe we'll just take some provisions earlier.

So I just want to say we manage our sales exposure very carefully, and we tend to be more prudent if we have to say. I mean no somehow just sit right behind you. But in a way, we discussed this all the time. So I'm not sure Teck Long, if you want to add some more.

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Okay. Helen help me answer the bulk of the question already. But I want to clarify something. The statement which I make about annual valuation is at least once a year. That's a minimal. If the tax stress in any part of the portfolio, we actually do more frequent update preferably by independent valuers. But minimally, we will have some independent basis to determine that.

Secondly, the fact is a very conservative policy of ensuring that the customers are graded correctly in various risk classification. So you can also think of it the other way around. That for cases, which might SCB stress has remained classified into, say, the various categories like special mention or even NPL. So it's actually already in the book.

Now on top of that, I also want to highlight 1 aspect of how we manage risk proactivity. We also look at it from a portfolio basis, and we are there at deeper de of making assumptions on what's forward-looking. So the market consensus is the market may drop X percent, we may go even more steep and planning for the future.

So far, our [indiscernible] cost speaks for itself. We have been very resilient to the China real estate issue, U.S. real estate issue. So I think our trend of managing the portfolio conservatively speaks for itself. I hope that addressed the question.

Nicholas Lord

Morgan Stanley, Research Division

Have you had to restructure any loans in Hong Kong?

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Restructuring of loans, I guess, is we have a portfolio comprising large and small customers. So in vary, there might be some restructuring, but we do not practice a classification based on if you're restructuring something, which is in a credit negative situation, we still keep it as a normal loan. So you can assume that all the mitigating action will be taken.

So we don't have a lot of major restructuring as you can sense for our portfolio at the moment, yes.

Nicholas Lord

Morgan Stanley, Research Division

There hasn't been any big increase or anything like that in the amount of restructuring?

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

No. In fact, if you look at our [indiscernible], our office exposure year-on-year had just came down. And yet, you don't see the NPL rate spiking in Hong Kong. But we are conservative. We have been watching it very closely.

Nicholas Lord

Morgan Stanley, Research Division

Can you comment -- I'm sorry.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I want to give one example and say that what do we do sell -- we're not -- I said it is a concern, right, because the market is a concern. I want to give 1 example. Last year, somebody -- I mean, some of you asked me because they're Greater China since has a NPL jump, and then we have provision jump because we have a certain case inside China, where there is a piece of security, it became an NPL, but we're not sure whether we will, where we quickly find a buyer, right?

So we actually make full provision. We would be very careful about this. When we judge that, we may not be able -- to be able to sell it and go up a long we paying. Why don't we make a full provision. The market may be quite difficult. Eventually, after, I think, 6, 9 months, we actually managed to sell the property.

And of course, we sold it. We have the loan repay, we bought back the provision, yes. But I just want to use this example as an illustration that we take our asset portfolio seriously. We will tend to be very prudent. I think Teck Long used the word conservative, but we're very prudent in considering booking provisions and declaring that along is NPL. So these are very deeply embedded in our culture as a banking group for many years. Yes. Just wanted to use that as an example.

Collins Chin

Head of Investor Relations

Melissa from [Goldman].

Unknown Analyst

Just back in terms of the NIM and NII. I just wanted to understand a little bit better. So are you looking to have NII flat. And that's what you are doing with all these. And so for the next few quarters, that's your aim to have it flat. And so if NIM, if you need, then you allow -- you take all these other high-quality assets and allow NIM to come down, but we were trying to hold the NII up.

Then on that front, maybe just -- I didn't really hear clearly on the loans, if the loan yield actually went down, loan yield itself, maybe some quarter-on-quarter clarification. And in terms of these high-quality assets that you are taking on, are they in held to maturity or where they help? So when rates come down, will we see gains? What -- and I just have one last question, I'll ask after that.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

I want to say you really cannot just plan like that to say that I'll keep NIM flat the next few quarters because it depends on really how the market twist and turn? And you also have to look at how is loan demand going -- get going, right? And also how do you manage your it's a very dynamic management, I have to say.

But we certainly have projections into this year-end, and we will disclose new guidance for next year when we're coming close to that part. But it is -- of course, if you ask me, of course, don't want NII to drop, but your interest rate cycle will tell you that NII has to drop some -- at some point. Unless, of course, you protected that well or you increase the volume of your assets and the volume of your business.

And of course, this is what we say, why introducing, getting that new money is important, why you -- hopefully, the fee side will rise to us to counter the NII drop because of interest rate environment, these are all very important. That's why you have to have a strategy and execute it so that you can onboard more customers. Get your CASA higher so that you reduce your funding costs, right?

So -- but a lot still depends on the market and the behavior of the customers. So of course, I can always tell the team I need record profits every year, but that is not going to happen, right? One day, it will not happen one day. I mean, don't ask me when, but one day will not happen. But we constantly look at what we look at the market and how we continue to improve our business and build volume in the same manner as, again, because any bad assets actually hit your P&L faster than the dropping of interest rate in a way.

So I just want to say that as a preamble and ask Ken to comment a bit on the investment. And of course, we were saying we put on assets, there are always guidance and there are always limits that guide Ken, how to invest.

Kenneth Mark Chin Kui Lai
Head of Global Markets

Thank you, Helen. So to answer your question on the high-quality assets if they were held to maturity or FVOCI. The bulk of our assets are actually booked under FVOCI. Only a small percentage of some assets are held to maturity.

Unknown Analyst

Then on the next question, as best as you can answer. On Great Eastern, I guess you've taken it up to 93%, and you said there's some more we have put it in. Just wondered in the total amount of what that percentage is. Is this 93% including the 160 people that have put in...

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

93-point-percent-something is when the close of the offer.

Unknown Analyst

Right. And so then it should be a bit more now?

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

It should be a bit more now.

Unknown Analyst

Then in terms of listing, I guess, 10% is the free float that needs to be there. So now that we have crossed over -- does it mean that we will not be thinking anymore about relisting if you don't get the 100%, it will be delisted. What is that thought?

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

Because we crossed 19%, the shares are still listed, but they are suspended from trading. So what we're seeing is we will look at this period of 3 months and we will continue to evaluate options, yes? So in the way we did say very clearly that, of course, we want to own as much of the shares of GE as possible. That's the starting point.

Because we like the business, we think the more we -- the whole, of course, the more it contribute to our bottom line. And then, of course, we would continue to explore stronger synergies with GE. So this is what we can say. But how the delisting go, whether eventually it will be delisted? And if we can hold 100%. I mean these are things we do not know or cannot comment at this point of time.

Unknown Analyst

And just back on the CET1 deduction. Just curious because I know it's a flat deduction that you're having now, right, for holding GE. If you had taken over -- if you take it to [200%] does the deduction increase or the deduction is still the same as what we have.

Chin Yee Goh
Group Chief Financial Officer

The deduction will reflect the cost of carrying GE. So if you add to it.

Unknown Analyst

Okay. So it will be increase more.

Chin Yee Goh
Group Chief Financial Officer

Yes.

Unknown Analyst

Okay. And do you have a rough guidance of how much you will hit CET1?

Chin Yee Goh
Group Chief Financial Officer

Yes. So we actually provided that sort of pro forma or computation when we announced offer May last year.

Unknown Analyst

Paying the capital and also the deduction from holding extra percentage of GE?

Chin Yee Goh
Group Chief Financial Officer

Yes, correct, right, correct.

Unknown Analyst

Right. Okay. And then sorry, lastly, if I could, in terms of you said working more synergistically with GE, right, if you hold it, right? With you hold having such high ownership now, what is preventing you from doing this like carrying out a lot of more synergies with GEH. I think your competitor another office bancassurance we're seeing how they have taken market share on your bancassurance side and what they have done in steps to do that.

I just wondered like why couldn't you have taken the same steps as well, having been such a large ownership. So I think maybe just to clarify the steps was to work very closely with their partners in terms of digital and how the 2 sites actually invested a lot of money on singing the platforms, making sure it works that you can see the policies on the other side, and you could buy and everything like this, and that's what they said that helped gain market share and took the market share away from you. So what is obstructing that?

Pik Kuen Wong
Group CEO & Non-Independent Executive Director

We don't talk about our peers. That's what we normally don't do. What our peers talk about us have listened. But I'm not saying that we have not had synergies. We have a lot of synergies, but getting them closer, I mean, remember, they are a separate listed company, yes, they have their own governance on many things.

When we see business synergies, we have been always working very closely, yes. But when you talk about if we own 100% of a company, of course, there are other sort of synergies you can perhaps do more. For example, do we share the use of system better, for example? Do we somehow put some of the support functions together?

I'm not saying that this is what we'll do. I'm just giving you potential examples, right? So I'm saying that we will continue to explore all these synergies. Just now, Chanya asked whether we will consider Greater China. But in a way, if we -- let's say we're 100% shareholder, of course, it makes a lot of the disclosures sharing of information even more easier, if you know what I mean.

But if they remain as a listed company, which they are accountable to listing requirements, disclosure requirements, customer data protection requirement, et cetera, et cetera. I'm not saying that this office should not be observed. But if it is a logistic company 100% owned by us, then the synergy that should be much more synergy we can explore.

Collins Chin
Head of Investor Relations

Sorry. Can we pass to Prisca first.

Prisca Ang

Prisca from ST. First question on I have 2 questions. The first 1 on U.S. recession fierce. We've seen investors quite spoke today by the likelihood of our U.S. recession in the next 1 year with worries that rate cuts are coming a bit too late as far as weak manufacturing

data. Is this something that's on the bank's radar? And what are the spillover effects for its business in Asia and the rest of its network as well.

A follow-up question on net new money on the \$6 billion across the group. Could you give some color on what are the main markets that are driving the growth in net new money?

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Okay. I think the first one first, U.S. recession. I talk about geopolitical tensions, uncertainties, of course. Any markets, especially where we have a presence. And U.S., of course, has more impact on the rest of the world, if they do have a recession. So this come back to our day-to-day work. Day-to-day work, meaning how do we stress test situation. How do we look at -- I mean there's a lot of disclosure on what the bank does. If you look at our icap -- and I mean the reverse disclosure that we are giving out.

So you do know that we have -- we are looking at various scenarios very closely. So whenever we say why sometimes we said, we still think it's important to have a very strong capital position is indeed to brace any potential bigger crisis that may happen, right? And second, I think something of this time, I have not mentioned, but we always want to be if we will be able to defend a AA rating. That is actually very powerful in terms of facing crisis, where a lot of times where, you know that in a typical situation, actually, money do flow to higher rate of banks, right? It's a flat to quality.

So things that we are doing in terms of managing our capital, making sure that we manage our -- the quality of our book value. These are all to brace for more difficult situation to come. So of course, I never hope something like COVID will happen again. But again, actually, economic cycle, we have seen over the years.

So of course, everybody learned a lot from the Asian financial crisis and the world's financial crisis. So there are a lot of things that we can always model and do a stress test on and make sure that we keep the bank sustainable, intact, have enough liquidity to address the needs of our customer and also to maintain that we don't reach any regulatory requirements as well.

So is there a possibility of a U.S. recession, I think it's up to everybody's views and guess. But whether we stress test that for certain, we do that.

The second is our net new money. It's quite -- I think if I can speak on behalf of our colleagues, it's quite across the board, right? But for CFS, obviously, we have a big Singapore book. But Singapore book, it does mean that also include offshore clients who open account with us. And also for the private banking, of course, our key hubs, right, where we see growth in the hubs.

But the hubs can also reflect money from other parts of the world as well. So I think it's not totally concentrated on a certain market.

Collins Chin

Head of Investor Relations

Okay. Maybe we have time for 3 questions. I saw in order of people raising their hands. Yong Hong from Citi, Jayden from Macquarie and then Chanya from Bloomberg, right, in this order.

Yong Hong Tan

Citigroup Inc., Research Division

Okay. I think for the CRE exposure that came down from 2.4% to 2%, was that a deliberate strategy to basically stop financing -- and for the CRE, is this just office CRE? Because I think 1 of your peers, they disclosed CRE and within their CRE exposure. 2/3 are actually in mixed use and the 1/3 are actually evenly split between retail and office. We just wanting to get a sense of your exposure beyond of CRE? And how do you see the outlook for these asset classes?

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

For office and reduce CRE in combination, I think it depends on which market you're talking about. In the Hong Kong market, which is very much in focus. Nowadays, our total is less than 3% of the total loan book. And we indeed has reduced in terms of the CRE exposure by quite a bit in the past 1 year year-on-year.

In terms of business strategy, we are calibrated towards the customer selection. So any new business we do, the customer as we financially strong enough, right, to enter into this market. Having said that, the clients also are smart. They're also looking at the right time to enter the market. So right now, when we do overall CRE, if it leaves commercial CIS, right, as just how the growth areas

could be other forms of real estate such as student a combination in Europe type of CRE or in the Singapore market where all of us are familiar, which is quite resilient. So I give you a flavor of the -- our approach.

Yong Hong Tan

Citigroup Inc., Research Division

Yes. Actually, my question is just relating to Hong Kong. Just to clarify your real estate exposure in Hong Kong, just to office and to retail is at 3%, which is what you just mentioned?

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Sorry? Less than 3% on the total loan book, yes.

Yong Hong Tan

Citigroup Inc., Research Division

Just wanted to clarify if your exposure to other clusters of real estate in Hong Kong.

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

Oh, we have residential, of course, right, which is quite okay at the moment, yes.

Yong Hong Tan

Citigroup Inc., Research Division

Okay. Got it. And maybe just on margins and your earlier comments about getting more wholesale funding. If you look at March end and June end, the deposits were actually flat, but the average deposits for the second quarter was actually up -- so just wanting to clarify this inflow of wholesale, one thing that you mentioned coming through in the first quarter, and that has stopped in the second quarter. So that means that maybe the cost of funding can be more stabilized the second quarter level?

Teck Long Tan

Executive VP & Head of Global Wholesale Banking

I think for us, our funding strategy -- our wholesale funding is part our overall bank funding strategy. What we have been managing is actually to make sure that we got enough funds to fund our operation, but we don't overpay. So that's how we have been managing it.

So if you have other sources of fund, for example, interbank market or from the CFS franchise, whichever makes sense for us in terms of the economics of the funding, we will do that. So it's actually quite -- if you think a volatile, it's actually not volatile. It's actually part of our strategy to manage it.

Unknown Executive

Jayden?

Jayden Vantarakis

Macquarie Research

I realize that we're over time, so I'll be quick. Just following up on GE, just on the strategic side. So you mentioned in the slides minimizing the leakage, economic value leakage, it's outside of OCBC Group. We talked a bit before about the capital deduction, but there's also GE's own capital, and there is excess funds that are sitting within GE. So my question is with 93.3% or slightly above, are we now at a point where we could think about returning some of that excess capital for the benefit of OCBC shareholders?

My second question is you talked about the lack of a bancassurance fee structure. Why not put one in place? I mean, from our perspective, it will be netted off anywhere. But just wondering why be giving that away for free to GE. So those are the 2 questions.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you for that. Yes, we do want to minimize leakage. Will we consider bancassurance arrangement? Yes, we will consider. And will we consider distributing excess capital out? Yes, we will consider. When we say consider, of course, everything has a

timing, right? At the moment, we do want to see eventually how much because we need to look at options, after we know how much eventually you can get out of the current provisions, right?

So there are many options we are considering. Nothing we can really say this will be concrete. This is going until we're ready, which certainly will disclose it, especially if there's anything related to a potential future offer, we cannot talk about it. You do know how these things work.

But it is something we take very seriously. And of course, we hope to be able to have a conclusion that we're happy with. But let's see how this 3 months goes before we can have a further decision on the options we have. And eventually, what it means to us in contribution to our capital position and also whether -- and you know that for the last few quarters or the last 2 years, we've been talking about capital a lot as well.

How we make any improvement in the LWA and how do we actually come up with more capital that we have by now distribute more actually to our shareholders by having a clearer dividend policy, right? And for the last 2 years, eventually, we pay 53%. I'm not -- but we are not promising you that because it is well before we're going to make a decision for a final dividend. So don't take that as an indication, please.

But what I'm saying is we will always look at our capital position and try to look after our shareholders. We look after meaning to be fair. But again, all these questions relate back to what about next year? What about the uncertainties and so much -- so many questions today on CRE, one about higher credit costs?

And I mean, we do all our best to protect our position, so that make sure that we're happy if we -- and we make 2 acquisition in a way, right? But not big ones. But in a way, there are many ways to use our capital. The important thing is to make sure our CET1 level is satisfactory that we will be able to take care of uncertainties in the future, have some room for acquisition if we see good opportunities and distribute a good amount to our shareholders when we can manage it.

So this is balancing everything, but we still want to, of course, improve the dividends we're paying to our shareholders.

Collins Chin

Head of Investor Relations

All right. With that, great. Thank you very much. We did exceeded our time, but thank you for your patience, and have a good day. Thank you.

Pik Kuen Wong

Group CEO & Non-Independent Executive Director

Thank you very much for coming again.

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